ACADEMIC CENTRAL

PRACTICE EXAMINATION

GRADE 7

ECONOMIC AND MANAGEMENT SCIENCES

PRACTICE EXAM 3

MARKS: 100 **TIME: 2 hours**

Covers the Grade 7 year: the economy (development of money, basic needs, households and businesses, inequality and poverty), financial literacy (household income and expenses, saving goals and interest, buying on credit, fixed and variable expenses) and entrepreneurship (costing and pricing for Entrepreneur's Day, market research).

Written by Academic Central for practice, following the CAPS curriculum for Grade 7. It is not a Department of Basic Education examination paper.

INSTRUCTIONS AND INFORMATION

1. This question paper consists of FOUR sections: SECTION A (20), SECTION B: The economy (25), SECTION C: Financial literacy (30) and SECTION D: Entrepreneurship (25).
2. Answer ALL the questions.
3. Number your answers exactly as the questions are numbered.
4. Show ALL calculations. A non-programmable calculator may be used.
5. Write neatly and legibly.

SECTION A

QUESTION 1: MULTIPLE CHOICE

Choose the correct answer. Write only the letter (A–D) next to the question number, e.g. 1.11 B.

1.1 The first coins were made from …

A paper. B metals such as gold, silver and copper.
C plastic. D wood.

1.2 Which of these is paid for by the government using taxes?

A Street lights B Private cars C Cell phones D Takeaway food

1.3 A person who has retired from work receives a monthly …

A salary. B pension. C wage. D commission.

1.4 A budget helps a family to …

A spend more money. B control its spending.
C avoid paying tax. D get more loans.

1.5 Unemployment means that a person …

A is willing and able to work but cannot find a job. B does not want to work.
C is too young to work. D has retired.

1.6 A person who buys goods for his or her own use is a …

A producer. B consumer. C supplier. D manufacturer.

1.7 The simple interest on R1 000 at 10% per year for one year is …

A R10 B R100 C R1 100 D R1 000

1.8 Which of these is an example of capital in a bakery?

A Flour B The oven C The baker D The customers

1.9 Which quality is important for an entrepreneur?

A Laziness B Creativity
C Being afraid of any risk D Giving up easily

1.10 The total cost of all the materials used to make a product is the …

A selling price. B cost price. C profit. D income.

(10)

QUESTION 2: TRUE OR FALSE

Write TRUE or FALSE next to the question number. If the statement is FALSE, write down the correct word(s) to replace the underlined word(s).

2.1 Barter is <u>still used</u> in some communities today. (2)

2.2 <u>Needs</u> are things we can live without. (2)

2.3 A <u>surplus</u> means that expenses are more than income. (2)

2.4 <u>Interest</u> is the price paid for using someone else's money. (2)

2.5 <u>Labour</u> refers to the machines and equipment used in production. (2)

(10)

TOTAL SECTION A: [20]

SECTION B: THE ECONOMY

QUESTION 3

3.1 Arrange these forms of money in the order in which they developed, from the earliest to the most recent: paper money, barter, electronic money, coins, commodity money (cattle, shells) (4)

3.2 (a) Give TWO advantages of paying with a debit card instead of cash. (b) Give TWO disadvantages of using a debit card. (4)

3.3 Name FOUR basic needs of a household. (4)

3.4 Households need businesses, and businesses need households. Explain TWO ways in which they depend on each other. (4)

3.5 The table shows the monthly income of five families in an imaginary town called Mzansiville.

Family	**A**	**B**	**C**	**D**	**E**
Monthly income	R2 000	R4 500	R6 000	R25 000	R62 500

3.5.1 Calculate the average (mean) monthly income of the five families. (2)

3.5.2 How many families earn less than the average? (1)

3.5.3 Does the average give a true picture of how most families in Mzansiville live? Explain your answer. (2)

3.5.4 Give TWO possible effects of large inequality in a community. (2)

3.6 Explain how education can help a family to break out of poverty. (2)

[25]

SECTION C: FINANCIAL LITERACY

QUESTION 4

4.1 Study the monthly income and expenses of the Mokoena household.

INCOME		**EXPENSES**	
Salary	R11 200	Groceries	R3 800
Rent received for a backyard room	R1 500	Rent	R3 200
		Transport	R1 450
		Electricity and water	R1 100
		School fees and stationery	R650
		Funeral insurance	R480
		Entertainment	R600

4.1.1 Calculate the total income. (2)

4.1.2 Calculate the total expenses. (2)

4.1.3 Calculate the surplus. (2)

4.1.4 The family wants to save 10% of its income every month. (a) Calculate this amount. (b) Can they afford it from their surplus? (3)

4.1.5 The cost of electricity and water increases by 12%. Calculate the new amount. (2)

4.1.6 Which expense is a want? (1)

4.2 Nomvula saves R250 a month for 8 months to reach her goal.

4.2.1 How much does she save in total? (2)

4.2.2 She invests this amount for 2 years at 9% simple interest per year. Calculate the interest and the total amount after 2 years. (3)

4.2.3 Why is it better to save for something than to buy it on credit? (2)

4.2.4 What is a savings goal? (1)

4.3 Mr Dlamini buys a television on credit. He pays a deposit of R500 and then 12 monthly instalments of R450. The cash price of the television is R4 800.

4.3.1 Calculate the total amount he pays for the television. (2)

4.3.2 How much more than the cash price does he pay? (1)

4.3.3 Give TWO dangers of buying on credit. (2)

4.4 Classify each expense as fixed or variable: (a) school fees; (b) water; (c) a monthly bus ticket; (d) groceries; (e) a medical aid payment. (5)

[30]

SECTION D: ENTREPRENEURSHIP

QUESTION 5

5.1 A Grade 7 class makes beaded bracelets for Entrepreneur's Day. They spend R180 on beads, R45 on elastic thread, R30 on small gift bags and R25 on poster paper. They make 40 bracelets.

5.1.1 Calculate the total cost. (2)

5.1.2 Calculate the cost of making one bracelet. (2)

5.1.3 They add a mark-up of 100% to the cost of one bracelet. Calculate the selling price. (2)

5.1.4 They sell 35 bracelets at this price. Calculate (a) their income and (b) their profit. (4)

5.1.5 Give TWO possible reasons why they did not sell all the bracelets. (2)

5.1.6 What could they do with the bracelets that were not sold? (1)

5.2 Write TWO questions that the class could use in a questionnaire for market research. (2)

5.3 Explain the difference between an employee and an entrepreneur. (2)

5.4 Why is entrepreneurship described as the factor of production that brings the other factors together? (2)

5.5 Give TWO ways in which a small business can make customers come back. (2)

5.6 Name TWO ways in which a person can get money (capital) to start a small business. (2)

5.7 Why should a business never sell food that has passed its expiry date? (2)

[25]

TOTAL: 100

END OF QUESTION PAPER